Retail Banking: Term Deposit & Taxation Policy

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Effective Date: January 1, 2026

Applies To: Domestic Retail Customers & Senior Citizens

1. Fixed Deposit (FD) Interest Rate Matrix

The following interest rates are applicable for retail term deposits below ₹2 Crore.

Tenure	General Public Rate (p.a.)	Senior Citizen Rate (p.a.)
7 Days to 45 Days	3.50%	4.00%
1 Year to < 2 Years	6.80%	7.30%
2 Years to 5 Years	7.50%	8.00%
Above 5 Years	7.00%	7.50%

2. Tax Deducted at Source (TDS) Compliance Slabs

In accordance with the 2026 Income Tax Regulations, TDS will be applied to the interest earned on Fixed Deposits under the following conditions:

- **General Public:** TDS is applicable at 10% if the total interest earned in a financial year exceeds ₹40,000.
- **Senior Citizens (Age 60+):** The exemption limit is extended. TDS is applicable at 10% only on the interest amount that exceeds ₹50,000 in a financial year.
- **Mandatory Documentation:** A verified PAN Card must be linked to the account. If a PAN Card is not provided, or Form 60 is not submitted, a default penal TDS rate of 20% will be applied across all categories.

3. Premature Withdrawal Penalty

A flat penalty of 1.00% will be deducted from the effective interest rate for any premature withdrawal of term deposits.